



Tariffs paused amid warnings, worries

Chaotic 18 hours as White House switches course

BY MICHAEL BIRNBAUM, NATALIE ALLISON, CAT ZAKRZEWSKI AND THEODORIC MEYER

Washington woke up Wednesday to the highest tariffs on foreign goods in a century and to bond markets flashing warning signs that President Donald Trump's bid to remake global trade could spark a far bigger crisis.

Trump's advisers were still projecting confidence that his effort to restructure the world's economy and sweep away generations of globalization was foolproof despite the S&P 500 wiping away 12 percent of its value in a week. One senior White House official said that Wall Street didn't understand Main Street — and that Main Street was still backing the president.

But hours later, Trump partially backed down — escalating his trade war with China but lowering many of the tariffs he had just imposed on the rest of the world. Stock markets soared.

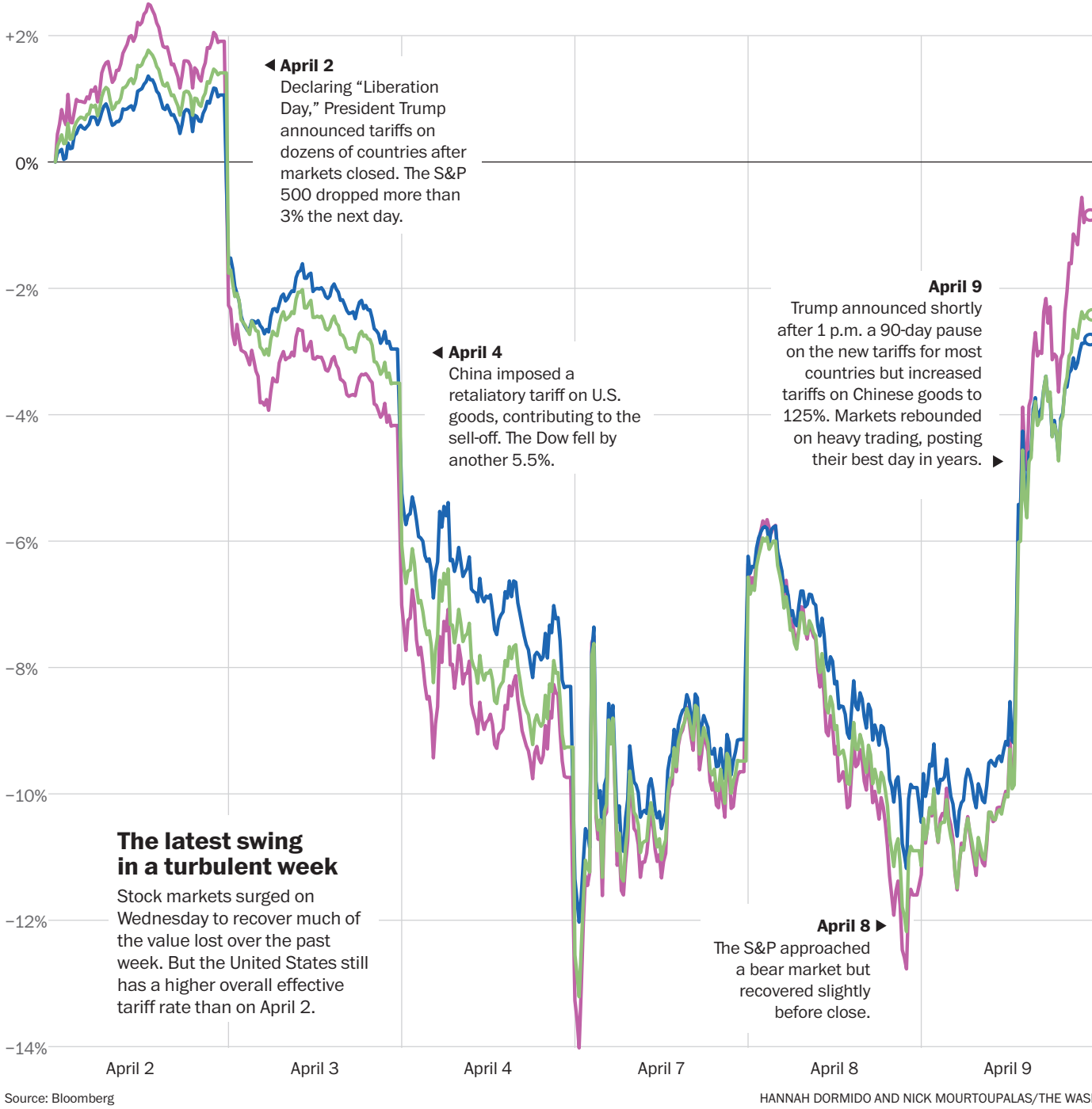
"I guess they say it was the biggest day in financial history," Trump reveled, less than 90 minutes after his Truth Social post that upended his week-old policy.

It was a shocking turnaround

SEE DECISION ON A14

E.U. response: The bloc approved an up to 25% levy on U.S. goods. **A9**

Taiwan: U.S. ally on shaky ground, possibly opening door for China. **A9**



STOCKS SURGE ON TRUMP'S REVERSAL

But in latest escalation, rate on China rises again

BY RACHEL SIEGEL, JEFF STEIN AND AARON GREGG

President Donald Trump on Wednesday paused his new tariffs on most imports, sparking a swift rally in the stock market even as he escalated a U.S. trade war with China.

In a midday post on Truth Social, Trump said new tariffs of 125 percent on Chinese imports would take effect immediately, hiking them from 104 percent. He also said more than 75 other countries — set to face what the White House calls "reciprocal" tariffs — have been negotiating and would immediately see their levies set to 10 percent for 90 days, rather than higher rates announced a week ago.

"Everybody wants to make a deal, actually," Trump said from the White House on Wednesday afternoon. "And, you know, we want to do what's right for our country. We also want to do what's right for the world. The world is important." He added that he was open to meeting with Chinese leader Xi Jinping but "they haven't treated our country right."

SEE TARIFFS ON A13

Markets: Hours before his move, Trump advised followers to buy. **A18**

Whitmer: Mich. governor stands out with mixed views on tariffs. **A11**

Fixation on tariffs, disdain for trade trace to 1980s N.Y.

BY MATT VISER

Donald Trump was upset that other countries were taking advantage of the United States. The debt was growing. The stock market had crashed. He freely shared his opinions.

"I believe very strongly in tariffs," he said. "All of the many nations that abuse the United States should pay a major tax — like a 15 or 20 percent tax on any product they sell in the United States."

It was the late 1980s. Not much has changed.

The seeds of President Donald Trump's latest tariff plans were planted decades ago, when the brash businessman from New York was still just toying with a political career but already developing a zero-sum view of the competitive landscape of the global economy. Forged over a long career in real estate over which many of his clients were wealthy foreigners, Trump grew to believe that the U.S. economy

was letting others profit from our markets. He didn't blame them for taking advantage. He blamed U.S. policy for allowing it to happen.

Now, that view is being tested on the global stage — with vast amounts of wealth, as well as longtime trade alliances, on the line. Trump's tariff frenzy sent markets into turmoil and left U.S. investors, corporate officials and even pro-Trump Republicans warning of a recession. They

SEE TRADE ON A13

Strains in bond market raised fears of a coming crisis

BY DAVID J. LYNCH

President Donald Trump may have brought the world to the brink of a financial crisis before pausing his tariff war on Wednesday, as the \$28 trillion market for Treasury bonds displayed unusual strains in the hours before his change of course.

Global investors sold large amounts of Treasury securities as the 12:01 a.m. deadline for imposing the highest U.S. tariffs in decades approached. The selling

surge sent the yield on the 10-year Treasury bond, which was below 4 percent on Friday, to 4.5 percent, before it closed a tick lower. In the past three days, the rate on the 30-year Treasury jumped the most since 1982. Higher yields eventually mean higher borrowing costs, for both consumers and the federal government.

The speed of such moves in the normally placid Treasury market raised fears that some investors, perhaps including foreign central banks, were ditching U.S. govern-

ment bonds amid a gathering panic over the unintended consequences of Trump's 360-degree assault on global trade. That would mean the end of a century of U.S. financial supremacy and leave markets unsure of the values of stocks, bonds and other assets around the world.

Fears eased Wednesday afternoon after a routine Treasury auction of \$39 billion in government debt proceeded without incident. But Trump acknowledged

SEE BONDS ON A18

At office that represents U.S. before high court, an exodus

BY ANN E. MARIMOW

At least half of the front-line lawyers in the elite Justice Department office that represents the Trump administration at the Supreme Court are preparing to leave or have already announced their departures — an unusually high amount of turnover at a time of intense litigation involving the president's initiatives.

The people planning to leave the solicitor general's office have various reasons, according to several people close to the workforce who spoke on the condition of anonymity to discuss upcoming personnel changes.

Many are uncomfortable or turned off by directives from Justice Department leaders, including Attorney General Pam Bondi's demand for "zealous advocacy" of President Donald Trump's agenda, these people said.

The planned departures, and the newly announced retirement of veteran Edwin S. Kneedler, come as the Trump administra-

tion has repeatedly asked the high court to clear the way for its efforts to dramatically reshape the federal government, expand immigration enforcement and halt federal spending.

The justices handed Trump a string of temporary, procedural victories over the past week in response to requests from the office.

A divided court on Monday allowed the administration to use a wartime statute to try to deport alleged Venezuelan gang members, though it said the migrants must have an opportunity to challenge their removals. On Tuesday, the court paused a judge's order requiring the government to rehire thousands of probationary employees, and last week it said the government could freeze tens of millions of

SEE LAWYERS ON A4

Independent regulators: Court allows removals for now. **A2**

Md. case: A court paused an order to rehire probationary workers. **B1**



ED RAM/FOR THE WASHINGTON POST

Ukrainian town snared by nuclear plant dispute

People at a bus stop in Nikopol, Ukraine, where silhouettes of six nearby nuclear reactors once projected the nation's energy independence. Today, the plant controlled by Russia and sought by the United States and Ukraine could mean a permanent life on a front line. **Story, A6**

Social Security kills DOGE-led plan to slash phone services

BY HANNAH NATANSON AND LISA REIN

Elon Musk's cost-cutting operation, the U.S. DOGE Service, set off a panic in March among elderly and disabled people after proposing that the Social Security Administration scrap many of its claims services over the phone in an effort to end alleged identity fraud.

Beneficiaries began lining up at field offices across the country, clutching driver's licenses and asking if they must prove who they were in person. Phone wait times ballooned and the agency's website started crashing almost daily under a crush of panicked callers and visitors. Besieged by angry constituents, lawmakers demanded that the acting commissioner end the chaos.

Now, after nearly a month of chaos and backlash, the DOGE

SEE SOCIAL SECURITY ON A2

IN THE NEWS

Foreign students The U.S. government's visa revocations, which have sometimes come without warning, and concerns about a lack of due process are spreading fear. **A8**

Tradition returns The Army will partially resume the use of horse-drawn caissons for funerals in Arlington National Cemetery. **B1**

THE NATION
NASA nominee Jared Isaacman said his ties to Elon Musk wouldn't sway the agency. **A3**
A whistleblower, formerly a global policy director at Meta, testified before lawmakers. **A4**

THE WORLD
The U.S. showed alarm after an American was charged with insulting the Thai monarchy. **A7**
António Guterres, the U.N. secretary general, described the Gaza Strip as "a killing field." **A8**

THE ECONOMY
Sweeping tariffs could threaten the globalization of iPhones and other Apple devices assembled in China, India and Vietnam. **A10**
Global upheaval in financial markets prompted an unusual sell-off of U.S. Treasury bonds. **A14**

THE REGION
The FAA replaced three air traffic control managers in the wake of a fight in the tower at Reagan National Airport. **B1**
The case against an alleged MS-13 leader was withdrawn by the Justice Department two weeks after his arrest. **B1**

STYLE
Works by Elton John, Celine Dion and more have been selected for the National Recording Registry. **C1**
LOCAL LIVING
Where does Congress sleep? Laws, tradition and a tight real estate market govern where our lawmakers live.

BUSINESS NEWS.....	A10
COMICS.....	C5
OBITUARIES.....	B4
OPINION PAGES.....	A15
TELEVISION.....	C4
WORLD NEWS.....	A6

CONTENT © 2025
The Washington Post
Year 148, No. 54182

